

# Tata Consultancy Services Ltd (TCS)

Sector: Information Technology

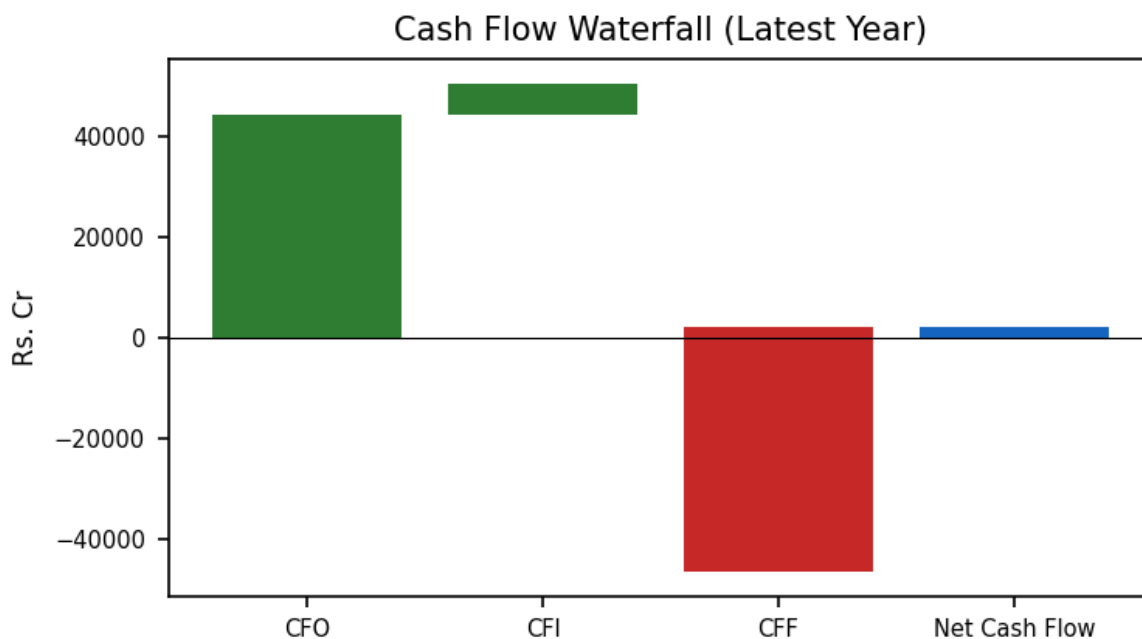
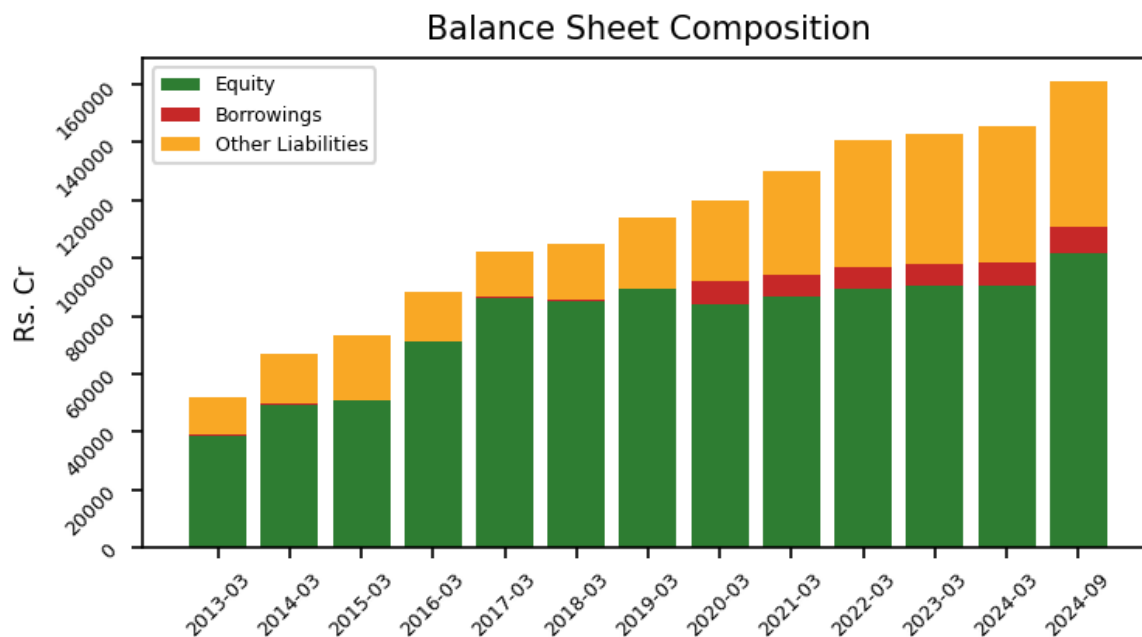
| Metric                  | Value |
|-------------------------|-------|
| Revenue CAGR (5yr)      | 8.9%  |
| Profit (PAT) CAGR (5yr) | 7.3%  |
| Return on Equity        | 50.9% |
| Debt to Equity          | 0.09  |
| Interest Coverage       | 87.1x |
| Operating Margin        | 26.7% |
| Dividend Payout Ratio   | 58.0% |

## Summary

High return on equity of 50.9%; Low leverage: debt-to-equity of 0.09; Strong interest coverage of 87.1x; Healthy dividend payout ratio of 58.0%; Company is almost debt free.; Company has a good return on equity (ROE) track record: 3 Years ROE 47.4%; Company has been maintaining a healthy dividend payout of 66.2%

Stock is trading at 15.2 times its book value; The company has delivered a poor sales growth of 10.5% over past five years.

# TCS — Financial Charts & Assessment



## Pros

- + High return on equity of 50.9%
- + Low leverage: debt-to-equity of 0.09
- + Strong interest coverage of 87.1x
- + Healthy dividend payout ratio of 58.0%
- + Company is almost debt free.
- + Company has a good return on equity (ROE) track record: 3 Years ROE 47.4%
- + Company has been maintaining a healthy dividend payout of 66.2%

## Cons

- Stock is trading at 15.2 times its book value
- The company has delivered a poor sales growth of 10.5% over past five years.

## Capital Allocation: Deleveraging